



PAPER – 3: TAXATION

SECTION A: INCOME TAX LAW

The Income-tax law, as amended by the Finance (No. 2) Act, 2024, including significant notifications/ circulars issued upto 28th February, 2025, is applicable for September, 2025 examination. The relevant assessment year for September, 2025 examination is A.Y.2025-26. The October, 2024 edition of the Study Material is based on the provisions of Income-tax law as amended by the Finance (No. 2) Act, 2024 and significant notifications/circulars issued upto 30.09.2024, and hence, the same is relevant for September, 2025 examination. Since there is no significant notifications/circulars issued between 1.10.2024 and 28.02.2025, Statutory Update is not issued for September 2025 Examination.



QUESTIONS

Case Scenario

Mr. Manish is a real estate developer. His main business is construction, development and sale of residential properties. He developed a project named Ashiyana Heaven which has both residential and commercial units. He obtained certificate of completion for the said project on 1.2.2023. He sold majority of the units, however, 15 residential units and 10 commercial units were not sold and held as stock in trade. To earn some income from such units, he let out 10 residential and 5 commercial units from 1st May 2024 at ₹ 15,000 p.m. and ₹ 20,000 p.m. each, respectively. Expected rent of each residential unit is ₹ 14,000 p.m. and ₹ 22,000 p.m. for each commercial unit. All units are identical.

Mr. Manish is also engaged with the firm Zoco & associates as a sleeping partner. The firm has 3 partners. His capital in the firm is ₹ 10,00,000. Each

partner received interest @15% on capital from the firm and remuneration @ ₹ 30,000 p.m. Interest and remuneration are authorized by partnership deed. The book profit of the firm for the P.Y. 2024-25 is ₹ 9,50,000.

He has taken four life insurance policies. The details of such policies are given hereunder:

Particulars	A	B	C	D
Date of Issue	1.4.2021	1.4.2023	1.2.2024	1.7.2024
Annual Premium	₹ 4,00,000 (excluding GST@18%)	₹ 1,50,000 (excluding GST @18%)	₹ 2,00,000 (excluding GST@18%)	₹ 3,00,000 (excluding GST@18%)
Date when premium falls due every year	1 st April	1 st April	1 st Feb	1 st July
Date of maturity	31.3.2030	31.3.2032	31.1.2033	30.6.2033
Consideration received on maturity (including bonus)	₹ 40,00,000	₹ 20,00,000	₹ 25,00,000	₹ 32,00,000
Sum assured	₹ 35,00,000	₹ 14,00,000	₹ 22,00,000	₹ 31,00,000

Based on the facts of the case scenario given above, choose the most appropriate answer to the following multiple choice questions:

- How much amount would be taxable in respect of income earned by Mr. Manish for let out of the residential and commercial units and under which head?
 - ₹ 11,55,000 from residential units and ₹ 8,47,000 from commercial units both under the head "Income from house property".
 - ₹ 11,55,000 from residential units under the head "Income from house property"; ₹ 7,70,000 from commercial units under the head "Income from house property".
 - ₹ 10,78,000 from residential units under the head "Income from house property"; ₹ 8,47,000 from commercial units under the head "Profits and gains from business or profession".
 - ₹ 11,55,000 from residential units under the head "Income from house property"; ₹ 12,10,000 from commercial units under the head "Profits and gains from business or profession".

2. What would be your answer to MCQ 1, if Mr. Manish is not a real estate developer and has a business of letting out of properties?
 - (a) ₹ 16,50,000 from residential units under the head "Profits and gains from business or profession"; ₹ 11,00,000 from commercial units under the head "Profits and gains from business or profession".
 - (b) ₹ 11,55,000 from residential units under the head "Income from house property"; ₹ 8,47,000 from commercial units under the head "Income from house property".
 - (c) ₹ 16,50,000 from residential units under the head "Profits and gains from business or profession"; ₹ 12,10,000 from commercial units under the head "Profits and gains from business or profession".
 - (d) ₹ 11,55,000 from residential units under the head "Income from house property"; ₹ 11,00,000 from commercial units under the head "Profits and gains from business or profession".
3. What would be the tax treatment of vacant residential and commercial units held as stock in trade during the P.Y. 2024-25?
 - (a) No tax treatment would be there as the units were not let out and held as stock in trade and 2 years have not lapsed from the end of the F.Y. in which certificate of completion is obtained.
 - (b) Vacant units would be deemed to be let out for 2 months i.e., February and March 2025 and expected rent would be taxable under the head "Income from house property".
 - (c) Vacant units would be deemed to be let out for 2 months i.e., February and March 2025 and expected rent of residential units would be taxable under the head "Income from house property" and expected rent of commercial units would be taxable under the head "Profits and gains from business or profession".
 - (d) Vacant units would be deemed to be let out for 2 months i.e., February and March 2025 and expected rent would be taxable under the head "Profits and gains from business or profession".

4. Which of the life insurance policies would be exempt at the time of maturity proceeds?
- (a) LIC "B", "C" and "D"
 - (b) None
 - (c) LIC "C" and "D"
 - (d) All
5. What would be the income taxable in the hands of Mr. Manish from the firm, Zoco & associates, for A.Y. 2025-26?
- (a) ₹ 4,80,000
 - (b) ₹ 1,20,000
 - (c) ₹ 3,70,000
 - (d) ₹ 3,90,000
6. Mr. Varun, an Indian citizen, engaged in consultancy business in India. He shifted to Dubai in the year 2019 to expand his consultancy business overseas. He visits India every year to supervise his office in Delhi. His stay in India for current as well as past years is as follows:
- P.Y. 2020-21: 95 days
 - P.Y. 2021-22: 105 days
 - P.Y. 2022-23: 95 days
 - P.Y. 2023-24: 75 days
 - P.Y. 2024-25: 100 days
- During the P.Y. 2024-25, he earned the following income:
- 1. Income from consultancy business in India – ₹ 10,00,000
 - 2. Income from consultancy business in Dubai - ₹ 4,00,000
 - 3. Agricultural income from land situated in Kerala - ₹ 70,000
 - 4. Dividend from an Indian company, received in Dubai - ₹ 50,000
 - 5. Interest expenditure on investment in above shares - ₹ 15,000

You are required to:

- (a) Determine Mr. Varun's residential status for A.Y. 2025-26, assuming he is not liable to tax in Dubai.
 - (b) Compute the Total income of Mr. Varun for P.Y. 2024-25 if he opts out of the default tax regime.
7. Mr. Aryan, a resident individual, is working in Nishchay Ltd. and earns salary of ₹ 90,000 per month during P.Y. 2024-25. He holds 20,000 equity shares of Alpha Ltd., an Indian listed company, purchased on 1st January 2016 at ₹ 200 per share. These were acquired through a recognized stock exchange and STT was paid on both acquisition and sale.

In August, 2024, Mr. Aryan transferred a plot in Chandigarh for ₹ 70 lakhs which was acquired by him in May 2016 for ₹ 22 lakhs. He paid brokerage of 1% on transfer.

In November, 2024, Alpha Ltd. decided to buy back 50% of its shares at ₹ 250 per share. Alpha Ltd. bought back proportionate shares of Mr. Aryan. In May 2025, Mr. Aryan acquired a residential house property in Kanpur for ₹ 40 lakhs. Fair Market value of equity shares of Alpha Ltd. as on 31.1.2018 was ₹ 190 per share.

You are required to compute the total income of Mr. Aryan if he is paying tax under default tax regime.

CII for F.Y. 2015-16: 254; F.Y. 2016-17: 264; F.Y. 2017-18: 272; F.Y. 2024-25: 363

8. Mr. Suraj, aged 40 years, submits the following information for the financial year ending 31.3.2025:
 - (i) He is employed in ABC Ltd. and earned salary income of ₹ 10,50,000 (computed).
 - (ii) He is engaged in a speculation and a non-speculation business. He earned profit from speculation business of ₹ 60,000 and suffered loss from non-speculation business of ₹ 40,000.
 - (iii) He reported short-term capital gain of ₹ 80,000. He also received lottery winnings of ₹ 20,000 (Gross).

- (iv) He has a brought forward long-term capital loss of ₹ 30,000 from A.Y. 2023–24.
- (v) Mr. Suraj has two children: one married daughter Riya aged 17 years, and a son Raj aged 16 years. The interest income of Riya and Raj is ₹ 1,200 p.a. and ₹ 2,000 p.a., respectively.
- (vi) He transferred a flat to Riya on 1st April 2024, on account of natural love and affection. This flat was let out from that date and generated rental income of ₹ 5,000 per month.
- (vii) Mr. Suraj paid a medical insurance premium of ₹ 22,000 during the financial year to insure his health, his spouse and dependent children. Additionally, he paid ₹ 33,000 to insure the health of his mother, aged 67 years, who is not dependent on him. He also incurred ₹ 20,000 as medical expenditure for his father, aged 71 years, who is not dependent and is not covered under any insurance policy. He contributed ₹ 6,000 during the year to the Central Government Health Scheme (CGHS).

Compute the total income of Mr. Suraj assuming that Mr. Suraj's total income is higher than Mrs. Suraj's total income, before including the income of minor children. Mr. Suraj exercises the option of shifting out of the default tax regime provided under section 115BAC(1A).

9. Examine the applicability and determine the amount of tax deduction at source (TDS) as per the Income-tax Act, 1961 for the A.Y. 2025-26 in the following situations:
- (i) Nexus Tech Pvt. Ltd., a company engaged in the business of manufacturing electronic goods, reported a turnover of ₹ 12 crore during the F.Y. 2023–24. During the F.Y. 2024–25, the company made the following purchases from resident sellers:
 - **From Vendor A** – Raw materials worth ₹ 60,00,000 (₹ 25 lakh in April, ₹ 35 lakh in July). Payment of ₹ 20 lakhs was made in June and remaining payment in September. Vendor A has not furnished his PAN.

- **From Vendor B** – Trading goods worth ₹ 48,00,000 on instalments (₹ 15 lakh in May, ₹ 20 lakh in October, ₹ 13 lakh in December). Entire payment was made in March, 2025.

It is to be noted that Nexus Tech Pvt. Ltd. made the entry in its books on the date of purchase and TCS provisions are not applicable on vendors.

- (ii) In January 2025, Mr. Sumit, engaged in business having turnover of ₹ 1.20 crores during the P.Y. 2023-24, enters into an annual maintenance contract (AMC) with ABC Ltd., a resident company, for ₹ 5,40,000 *plus* GST@18%. Mr. Sumit made the payment in February 2025 and ABC Ltd. has not provided its PAN to Mr. Sumit.
10. Mr. Shobhit, a resident individual aged 54 years, engaged in the manufacture of spare parts of cars. He follows the mercantile system of accounting and regularly files his return of income. The profit and loss account for the year ended 31.3.2025 shows a net profit of ₹ 57,25,000 after debiting/crediting the following:
- (i) During the year, Mr. Shobhit purchased plant and machinery for ₹ 55 lakhs for which he took loan from a scheduled bank. (Date of loan 1.5.2024 and rate of interest 11% p.a.). The asset was acquired on 1.7.2024 and put to use on 1.9.2024. The entire interest amount is debited to the profit and loss account.
 - (ii) On 1.4.2024, the production manager working in the factory of Mr. Shobhit took voluntary retirement from the services. Mr. Shobhit paid him ₹ 8,00,000 as compensation for his services under the Voluntary Retirement Scheme.
 - (iii) Mr. Shobhit purchased raw material from M/s Kamal & Sons, a micro enterprise, and M/s Hitesh & Sons, a medium enterprise, for ₹ 51,000 and ₹ 75,000, respectively on 15.3.2025. As per the written agreement with them, both the payment has to be made by 10.4.2025. Mr. Shobhit made the payment to M/s Kamal & Sons on 9.4.2025 and to M/s Hitesh & Sons on 15.11.2025.
 - (iv) He contributed 20% of basic salary to the account of each employee under a pension scheme referred to in section 80CCD which is debited to the profit and loss account. Basic salary of the

employees aggregate to ₹ 10 lakhs and dearness allowance is 40% of basic salary and it forms part of retirement benefit.

- (v) Depreciation debited to profit and loss account is ₹ 27,50,000.
- (vi) He received ₹ 13,850 as income-tax refund out of which ₹ 3,850 is interest on refund. The entire amount is credited to profit and loss account.

Additional Information:

- (a) Mr. Shobhit purchased a new computer on 31st August, 2024 and was put to use on the same day in his office. The payment was made as under:
 - ₹ 28,000 paid in cash at the time of purchase of new computer on 31/08/2024
 - ₹ 25,000 paid by account payee cheque on 05/09/2024 as balance cost of new computer
- (b) WDV (as per the Income-tax Act, 1961) of different assets as on 1.4.2024:
Plant and machinery ₹ 8,00,000;
Factory Building ₹ 6,45,000
- (c) He paid ₹ 50,000 as life insurance premium taken on the life of his father who is dependent on him. The sum assured is ₹ 8,00,000 and the policy was taken on 1.4.2015.
- (d) He also paid ₹ 45,000 as life insurance premium taken on the life of his married daughter who is not dependent on him. The sum assured is ₹ 5,00,000 and the policy was taken on 1.4.2017.
- (e) On 1.10.2024, he withdrew ₹ 1.50 crores in cash from two current accounts maintained by him with PNB Bank of India. There are no other withdrawals during the year.
- (f) Mr. Shobhit had sold a house on 30th March, 2022 and deposited the long term capital gains of ₹ 25,00,000 in capital gain account scheme by the due date of filing return of income for that year. On 1st July, 2024, he sold another house property in which he resided

for ₹ 1 crore. He earned a long-term capital gain (without indexation benefit) of ₹ 50,00,000 on sale of this property. On 5th January, 2025, he withdrew the whole money out of his capital gain account and invested ₹ 60 lakhs on construction of a house in Mumbai. The construction of the house completed on 23rd March 2025. The indexed cost of acquisition of the house property is ₹ 60 lakhs.

You are required to compute the total income of Mr. Shobhit and also the tax payable by him after TDS/TCS credit, if any, for the A.Y. 2025-26 if he is opting out of the default tax regime.